PenLife Associates
Chartered Financial Planners

PenLife Risk Profiler

Prepared by:

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Welcome to your PenLife Risk Profiler

Dear

Understanding your views, attitudes and preferences helps us ensure that we provide suitable advice for you It can be difficult to clearly express your views, so we use a range of questionnaires and techniques to help us understand what is important for you.

Risk Profiling

To help us ensure that your investments are suitable for your personal circumstances, we asked you to complete a risk profile questionnaire. This assessed your willingness and ability to take investment risk. The following report documents the answers you gave, together with notes on any areas that required further discussion with you.

As a result of your answers and our subsequent discussions, we have been able to determine an appropriate risk profile for you. In this report, we explain how this risk profile fits with your attitude towards investing.

We also outline a benchmark asset allocation representing your risk profile, and indicate the risk and return you could expect from this portfolio. Please note these returns are for illustration only and are not guaranteed.

We hope you find this Profiling Report useful. Please contact me if you would like to discuss any aspect further.

Yours sincerely,

1. Understanding your risk profile

To determine an appropriate investment risk profile for you, I asked you a series of questions about your investment experience, your attitude to and capacity for taking investment risk. The questions and answers you gave are detailed below.

Your investment experience

You were asked 2 questions about your experience of investing - here are the questions and the answers you chose.

Question	Your responses
1 Are there any other factors such as profession or former profession that could be relevant to the knowledge or experience of the client?	
2 Have you made any investments in the past? If yes, which types of investments?	

Your capacity for risk

You were asked 5 questions about your capacity for risk. The questions and the answers you chose, and what those answers mean for you, are shown below.

Question	Your responses
1 Will this investment need to cover your expenses in an emergency? If yes, how will you cope with this situation?	
2 Will this investment provide for your current / future daily living expenses? If yes, what other sources of income do you have to meet your expenses?	
3 Is this investment a significant proportion of your total wealth?	
4 Do you have any major financial commitments that could mean you need to access this money earlier than you currently think?	
5 Do you have any dependants who rely on you financially?	

Discussion points

Understanding Capacity for Loss

Capacity for loss is your ability to absorb losses and is specific to you. It depends on your overall financial situation and how any losses might affect your standard of living or financial goals, now or in the future. If losses could significantly impact your plans, lower-risk investments may be appropriate, as they reduce the likelihood of large declines, although potential long term returns are likely to be lower.

Generally speaking, the longer you are investing for, the more risk you may be able to take. This is because you have the opportunity during a downturn to patiently wait for a recovery. Shorter-term investments are usually better suited to lower-risk options to reduce the impact of short-term falls in value.

Withdrawing money gradually allows investments to continue benefiting from potential growth, although they will still be exposed to potential falls in value. If you draw money out while values are falling the total pot can reduce more quickly. Regularly reviewing the level of risk helps ensure it remains appropriate for your changing circumstances.

Another key element is to hold other resources for emergencies (a cash based emergency fund for example) as this may reduce the need to access investments early, potentially allowing for a higher level of risk to be taken, if appropriate.

Ultimately, you should only take on a level of risk with which you feel comfortable and this is something that your Planner can help you with. Our Experience and tools, such as Cashflow Modelling are all things we can provide you with so you can make a decision that is right for you and your financial goals/plans.

Your attitude for risk

As part of our ongoing service, we look regularly to review your attitude to taking investment risk by asking you 13 questions. The questions and the most recent answers you have given are below.

Question	Your responses
1 I would enjoy exploring investment opportunities for my money.	
2 I would go for the best possible return even if there were risk involved.	
3 How would you describe your typical attitude when making important financial decisions?	
4 What amount of risk do you feel you have taken with your past financial decisions?	
5 To reach my financial goal I prefer an investment which is safe and grows slowly but steadily, even if it means lower growth overall.	
6 I am looking for high investment growth. I am willing to accept the possibility of greater losses to achieve this.	
7 If you had money to invest, how much would you be willing to place in an investment with possible high returns but a similar chance of losing some of your money?	
8 How do you think that a friend who knows you well would describe your attitude to taking financial risks?	
9 If you had picked an investment with potential for large gains but also the risk of large losses how would you feel?	
10 Imagine that you have some money to invest and a choice of two investment products, which option would you choose?	
11 I would prefer small certain gains to large uncertain ones.	
12 When considering a major financial decision, which statement BEST describes the way you think about the possible losses or the possible gains?	
13 I want my investment money to be safe even if it means lower returns.	
Investment Term	

Discussion points

Your attitude to risk result

Discussion Points

I confirm that I have read and understand the full content of this report.

Client signature

Adviser signature

Date

Date